ธนาคารกสิกรไทย
开泰银行 KASIKORNBANK

Summary of the Bank and its subsidiaries' operating performance

for the fourth quarter and for the year ended 31 December 2020

Million Baht

1. OPERATING RESULTS	Q4/20	Q3/20	%Change	Q4/19	2020	2019	%Change
Net profit (attributable to equity holders of the Bank)	13,258	6,679	98.52	8,802	29,487	38,727	(23.86)
Basic earnings per share (Baht)	5.60	2.82	98.52	3.68	12.42	16.18	(23.86)
Interest income - net	26,603	27,255	(2.39)	25,570	109,022	102,688	6.17
Non - interest income	12,308	9,499	29.58	16,157	45,869	57,803	(20.65)
Fees and service income - net	8,302	7,805	6.36	9,407	33,004	36,740	(10.17)
Net premiums earned - net	(558)	(36)	(1,425.75)	(1,163)	(436)	(164)	(166.10)
Other income	4,564	1,730	163.91	7,913	13,301	21,227	(37.34)
Total operating income - net	38,911	36,754	5.87	41,727	154,891	160,491	(3.49)
Total other operating expenses	20,272	16,447	23.26	21,176	69,996	72,729	(3.76)
Operating profit before expected credit loss/ impairment loss on loans and debt securities and income tax expense	18,639	20,307	(8.21)	20,551	84,895	87,762	(3.27)
Expected credit loss/Impairment loss on loans and debt securities	669	10,815	(93.81)	8,825	43,548	34,012	28.04

Million Baht

2. FINANCIAL POSITION	31 Dec 20	30 Sep 20	%Change	31 Dec 19	%Change
Loans[1)]	2,244,821	2,156,650	4.09	2,001,956	12.13
Total assets	3,658,798	3,545,648	3.19	3,293,889	11.08
Deposits	2,344,999	2,273,850	3.13	2,072,049	13.17
Total liabilities	3,167,512	3,089,066	2.54	2,840,174	11.53

3. PERFORMANCE INDICATORS	Q4/20	Q3/20	Q4/19	2020	2019
Net interest margin (NIM)[2)]	3.08%	3.17%	3.25%	3.27%	3.31%
Return on average assets (ROA)[2)]	1.47%	0.75%	1.08%	0.85%	1.20%
Return on average equity (ROE)[2)]	12.74%	6.59%	8.72%	7.10%	9.90%
Cost to income ratio	52.10%	44.75%	50.75%	45.19%	45.32%

4. ASSET QUALITY RATIOS / FINANCIAL POLICY RATIOS	31 Dec 20	30 Sep 20	31 Dec 19
Significant increase in credit risk loans to total loans[3)]	7.80%	9.52%	-
Significant increase in credit risk and credit impaired loans to total loans[3)]	11.81%	13.53%	-
Non-performing loans, gross to total loans	3.93%	3.95%	3.65%
Loans[1)] to deposits ratio	95.73%	94.85%	96.62%
Capital adequacy ratio[4)]	18.80%	18.45%	19.62%
Tier 1 Capital ratio[4)]	16.13%	15.74%	16.19%

[1)] Loans = Loans to customers

[2)] Financial ratios are calculated on an annualized basis which formula shown on page 14

[3)] Loans used in calculation are loans to customers and loans to financial institutions and accrued interest receivables and undue interest receivables

[4)] KASIKORNBANK FINANCIAL CONGLOMERATE's Capital Adequacy Ratio (CAR)

The Thai economy contracted in 2020 amid the domestic and global effects of the COVID-19 pandemic. The crisis negatively impacted domestic spending, as well as the export and tourism sectors. For 2021, the Thai economy faces additional downside risks, particularly the new wave of COVID-19. Thus, the path of any potential Thai economic recovery remains highly uncertain, while government expenditure and investment will remain key supportive factors.

Since 1 January 2020 the Bank and its subsidiaries initially adopted TFRS related to financial instruments (included TFRS 9) which some items are not comparable with the financial statements and key financial ratios of previous period.

Operating performance for the year of 2020, KBank and its subsidiaries reported net profit of Baht 29,487 Million, and reported net profit of Baht 13,258 Million, for the fourth quarter of 2020.

KBank and its subsidiaries reported net profit for the year of 2020 of Baht 29,487 Million, a decrease of Baht 9,240 Million or 23.86% over the previous year, mainly due to the fact that KBank and its subsidiaries comply continuous prudent approach to set aside higher expected credit loss from the preceding year of Baht 9,536 Million or 28.04%, which had reserved since the first half of 2020 amounting to Baht 32,064 Million due to high uncertainty from the COVID-19 pandemic, severely impacted domestic and abroad that has never been happened before, together with measures of the government and competent agencies urging financial institutions to provide assistance to customers. However, although the relief measures gradually ended in the second half of 2020, the customers are still able to repay debts better than expected and the new wave of COVID-19 pandemic occurred in late fourth quarter, the Bank has revisited and assessed the adequacy of reserve and found that the reserve set aside in the past three quarters are sufficient. The Bank thus consider to set aside lower expected credit loss compared to the prior periods. Totally, the Bank set aside expected credit loss amounting to Baht 43,548 Million for the year of 2020, in the level that could cover potential damages occurred suitably and in line with situation. Even though net interest income increased by Baht 6,334 Million or 6.17%, mainly due to a decrease in interest expenses as a result of a decrease in average interest rate and a decrease in contributions to Financial Institutions Development Fund (FIDF), resulting in NIM that stood at 3.27%. Non - interest income decreased by Baht 11,934 Million or 20.65%, mainly due to decreases in revenue from sale of securities and fees income related to loan which change to reflect in interest income. In addition, other operating expenses decreased by Baht 2,733 Million or 3.76%, mainly due to a decrease in estimated employee expenses and marketing expenses, while debt management expenses increased. Although in this quarter other operating expenses increased by Baht 3,825 Million or 23.26%, mainly due to increases in IT related expenses in order to support customers' needs, marketing expenses due to seasonality and activities collaborated with business partners, resulting in the cost to income ratio that stood at 45.19% in this year.

As of 31 December 2020, KBank and its subsidiaries' total assets were Baht 3,658,798 Million, an increase of Baht 364,909 Million or 11.08% over the end of 2019, which the majority came from loans. As of 31 December 2020, NPL gross to total loans stood at 3.93%. The Bank has provided support and assured credit quality for customer affected by COVID-19, while at the end of 2019 this stood at 3.65%. Coverage ratio as of 31 December 2020 stood at 149.19%, while at the end of 2019 this stood at 148.60%. In addition, as of 31 December 2020, KASIKORNBANK FINANCIAL CONGLOMERATE's Capital Adequacy Ratio (CAR) according to the Basel III Accord was 18.80%, with a Tier-1 Capital ratio of 16.13%.

Analysis of consolidated operating performance for the fourth quarter and for the year ended 31 December 2020

The Bank and its subsidiaries reported net profit for the fourth quarter of 2020 amounting to Baht 13,258 Million, an increase from the preceding quarter of Baht 6,579 Million or 98.52%. And net profit for the year 2020 amounting to Baht 29,487 Million, a decrease of Baht 9,240 Million or 23.86% from 2019. The items having significant changes are as follows:

❑ Interest income - net

Million Baht

	Q4/20	Q3/20	Change	%	2020	2019	Change	%
Interest income	**30,473**	**31,386**	**(913)**	**(2.91)**	**127,592**	**130,178**	**(2,586)**	**(1.99)**
Interbank and money market items	548	647	(99)	(15.32)	3,118	6,390	(3,272)	(51.22)
Investments	5,464	5,314	150	2.84	21,711	21,539	172	0.80
Loans to customers	22,947	23,852	(905)	(3.80)	96,834	96,376	458	0.48
Hire purchase and finance leases	1,509	1,568	(59)	(3.77)	5,913	5,859	54	0.91
Others	5	5	-	(1.09)	16	14	2	16.20
Interest expenses	**3,870**	**4,131**	**(261)**	**(6.31)**	**18,570**	**27,490**	**(8,920)**	**(32.45)**
Deposits from customers	1,909	2,117	(208)	(9.81)	10,188	13,935	(3,747)	(26.89)
Interbank and money market items	127	159	(32)	(19.57)	854	1,603	(749)	(46.75)
Contributions to Financial Institutions Development Fund and Deposit Protection Agency	1,356	1,369	(13)	(0.99)	5,303	9,155	(3,852)	(42.07)
Debts issued and borrowings	457	465	(8)	(1.64)	2,124	2,661	(537)	(20.20)
Others	21	21	-	(3.30)	101	136	(35)	(25.19)
Interest income - net	**26,603**	**27,255**	**(652)**	**(2.39)**	**109,022**	**102,688**	**6,334**	**6.17**

For the fourth quarter of 2020 compared with the third quarter of 2020, net interest income amounting to Baht 26,603 Million, a decrease of Baht 652 Million or 2.39%, mainly due to a decrease in interest income from loans to customers and interest expenses from deposits from customers.

- **Interest income from loans to customers,** decreased by Baht 905 Million or 3.80%, mainly due to a decrease in average interest rate on loans, while average volume of loans to customers increased.
- **Interest expenses from deposits from customers,** decreased by Baht 208 Million or 9.81%, mainly due to a decrease in average interest rate on deposits.

For the year of 2020 compared with the year of 2019, net interest income amounting to Baht 109,022 Million, an increase of Baht 6,334 Million or 6.17%, mainly due to a decrease in interest income and interest expenses.

- **Interest income from interbank and money market item,** decreased by Baht 3,272 Million or 51.22%, mainly due to a decrease in average interest rate.
- **Interest expenses from deposits from customers,** decreased by Baht 3,747 Million or 26.89%, mainly due to a decrease in average interest rate on deposits, while average volume of deposits from customers increased.
- **Interest expenses from Contributions to Financial Institutions Development Fund and Deposit Protection Agency,** decreased by Baht 3,852 Million or 42.07%, due to the Bank of Thailand announcement to temporarily reduce the rate of contribution from financial institutions to the FIDF decrease of submission rate from 0.46% to 0.23% per year which is effective from 2020 to 2021.

❑ **Non - interest income**

Million Baht

	Q4/20	Q3/20	Change	%	2020	2019	Change	%
Fees and service income - net	**8,302**	**7,805**	**497**	**6.36**	**33,004**	**36,740**	**(3,736)**	**(10.17)**
Fees and service income	11,580	10,853	727	6.69	45,699	50,580	(4,881)	(9.65)
Fees and service expenses	3,278	3,048	230	7.53	12,695	13,840	(1,145)	(8.28)
Net premiums earned - net	**(558)**	**(36)**	**(522)**	**(1,425.75)**	**(436)**	**(164)**	**(272)**	**(166.10)**
Net premiums earned	20,354	17,887	2,467	13.79	72,129	80,489	(8,360)	(10.39)
Underwriting expenses	20,912	17,923	2,989	16.67	72,565	80,653	(8,088)	(10.03)
Other income	**4,564**	**1,730**	**2,834**	**163.91**	**13,301**	**21,227**	**(7,926)**	**(37.34)**
Gain (Loss) on financial instrument measured at fair value through profit or loss/Gain (Loss) on trading and foreign exchange transactions	3,178	518	2,660	513.04	8,119	8,362	(243)	(2.90)
Gain (Loss) on investments	595	364	231	63.56	1,308	8,412	(7,104)	(84.45)
Share of profit (loss) from investments using equity method	(203)	(9)	(194)	(2,147.29)	(193)	44	(237)	(538.64)
Dividend income	351	504	(153)	(30.18)	2,384	2,817	(433)	(15.35)
Other operating income	643	353	290	82.24	1,683	1,592	91	5.70
Total non - interest income	**12,308**	**9,499**	**2,809**	**29.58**	**45,869**	**57,803**	**(11,934)**	**(20.65)**

For the fourth quarter of 2020 compared with the third quarter of 2020, non - interest income amounting to Baht 12,308 Million, an increase of Baht 2,809 Million or 29.58%, mainly due to the mark to market of investments according to market condition.

- **Fees and service income - net,** increased by Baht 497 Million or 6.36%, mainly due to an increase in fees income related to loan and fees from card business.
- **Net premiums earned - net,** decreased by Baht 522 Million or 1,425.75%, due to underwriting expenses increased, although net premiums earned still had growth.
- **Other income,** increased by Baht 2,834 Million or 163.91%, mainly due to the mark to market of investments according to market condition.

For the year of 2020 compared with the year of 2019, non - interest income amounting to Baht 45,869 Million, a decrease of Baht 11,934 Million or 20.65%, mainly due to decreases in revenue from sale of securities and fees income related to loan which change to reflect in interest income.

- **Fees and service income - net,** decreased by Baht 3,736 Million or 10.17%, mainly due to fees income related to loan which change to reflect in interest income under TFRS 9 and fees from card business, while brokerage fees increased.
- **Other income,** decreased by Baht 7,926 Million or 37.34%, mainly due to revenue from sales of securities decreased.

❑ **Other operating expenses**

Million Baht

	Q4/20	Q3/20	Change	%	2020	2019	Change	%
Employee expenses	8,323	8,147	176	2.16	32,143	33,261	(1,118)	(3.36)
Directors' remuneration	22	21	1	2.80	160	159	1	0.80
Premises and equipment expenses	3,269	2,945	324	10.99	12,165	12,910	(745)	(5.77)
Taxes and duties	1,237	1,227	10	0.85	5,088	5,031	57	1.13
Others	7,421	4,107	3,314	80.71	20,440	21,368	(928)	(4.35)
Total	20,272	16,447	3,825	23.26	69,996	72,729	(2,733)	(3.76)

For the fourth quarter of 2020 compared with the third quarter of 2020, other operating expenses amounting to Baht 20,272 Million, an increase of Baht 3,825 Million or 23.26%, mainly due to an increase in IT related expenses in order to support customers' needs, marketing expenses due to seasonality, activities collaborated with business partner and premises and equipment expenses.

For the year of 2020 compared with the year of 2019, other operating expenses amounting to Baht 69,996 Million, a decrease of Baht 2,733 Million or 3.76%, mainly due to a decrease in estimated employee expenses, premises and equipment expenses and marketing expenses, while debt management expenses increased.

❑ **Other comprehensive income**

Million Baht

	Q4/20	Q3/20	Change	%	2020	2019	Change	%
Items that will be reclassified subsequently to profit or loss								
Gain (Loss) on investments in debt instruments measured at fair value through other comprehensive income	1,004	203	801	392.99	641	-	641	100.00
Gain (Loss) on remeasuring available-for-sale investments	-	-	-	-	-	2,600	(2,600)	(100.00)
Gain (Loss) on cash flow hedges	683	(510)	1,193	234.06	(4,657)	-	(4,657)	(100.00)
Gain (Loss) arising from translating the financial statements of a foreign operation	(597)	105	(702)	(670.58)	(477)	(198)	(279)	(140.49)
Income taxes relating to components of other comprehensive income	(222)	26	(248)	(959.89)	872	(502)	1,374	273.68
Items that will not be reclassified subsequently to profit or loss								
Changes in revaluation surplus	42	-	42	100.00	1,016	4,503	(3,487)	(77.43)
Gain (Loss) on investments in equity instruments designated at fair value through other comprehensive income	4,124	(2,605)	6,729	258.30	(4,586)	-	(4,586)	(100.00)
Actuarial gain (loss) on defined benefit plans	(136)	263	(399)	(151.85)	(193)	(2,979)	2,786	93.53
Income taxes relating to components of other comprehensive income	(811)	425	(1,236)	(290.64)	779	(327)	1,106	338.51
Total	4,087	(2,093)	6,180	295.31	(6,605)	3,097	(9,702)	(313.24)

For the fourth quarter of 2020 compared with the third quarter of 2020, other comprehensive income amounting to Baht 4,087 Million, an increase of Baht 6,180 Million or 295.31%, mainly due to the mark to market of investments in equity securities according to market condition.

For the year of 2020 compared with the year of 2019, other comprehensive income amounting to Baht 6,605 Million, a decrease of Baht 9,702 Million or 313.24%, mainly due to the volatility of money market and capital market during the economic recession from COVID-19, and TFRS 9 impacts from reclassification and remeasurement of investments. Moreover, there was gain on revaluation of land and buildings of the Bank to reflect fair values in 2019.

❑ **Net operating results of the Bank's subsidiaries (Unaudited)** - reflected in the consolidated financial statements in accordance with the holding percent held by the Bank.

Million Baht

Net profit	Q4/20	Q3/20	Change	%	2020	2019	Change	%
K Companies	1,572**	1,268	304	24.14	5,602**	5,987**	(385)	(6.41)
Companies in MTGH Group*	2,216	1,262	954	75.45	7,481**	9,858**	(2,377)	(24.12)
Other subsidiaries	95	144	(49)	(35.67)	719	659	60	9.28
Total	3,883	2,674	1,209	45.10	13,802	16,504	(2,702)	(16.36)

* % holding - The Bank holds directly and indirectly % of shares in companies in MTGH Group as follows:

- Muang Thai Group Holding Co., Ltd.	51.00%
- Muang Thai Life Assurance PCL	38.25%
- Muang Thai Broker Co., Ltd.	50.99%
- MT Insure Broker Co., Ltd.	38.25%
- FUCHSIA VENTURE CAPITAL COMPANY LIMITED	38.25%
- AI GEN Company Limited	51.00%

** Including dividend income among the Group for 2020 and 2019 amounting to Baht 1,081 Million and Baht 2,474 Million, respectively.

Analysis of consolidated financial position as of 31 December 2020

>> Assets

Million Baht

	31 Dec 20	30 Sep 20	Change	%	31 Dec 19	Change	%
Total Assets	3,658,798	3,545,648	113,150	3.19	3,293,889	364,909	11.08
■ Interbank and money market items - net	417,420	384,214	33,206	8.64	385,940	31,480	8.16
■ Financial assets measured at fair value through profit or loss	46,666	58,002	(11,336)	(19.54)	-	46,666	100.00
■ Investments - net	775,739	811,645	(35,906)	(4.42)	774,640	1,099	0.14
■ Loans to customers and accrued interest receivables - net	2,121,700	2,032,786	88,914	4.37	1,879,907	241,793	12.86
- Loans to customers	2,244,821	2,156,650	88,171	4.09	2,001,956	242,865	12.13
- Accrued interest receivables and undue interest receivables	11,272	13,351	(2,079)	(15.57)	-	11,272	100.00
- Accrued interest receivables	-	-	-	-	2,830	(2,830)	(100.00)
- Allowance for expected credit loss	(134,393)	(137,215)	2,822	2.06	-	(134,393)	(100.00)
- Allowance for doubtful accounts	-	-	-	-	(123,203)	123,203	100.00
- Revaluation allowance for debt restructuring	-	-	-	-	(1,676)	1,676	100.00

As of 31 December 2020 compared with as of 30 September 2020, total assets increased by Baht 113,150 Million or 3.19%. The items having significant changes are as follows:

- **Interbank and money market items - net,** increased by Baht 33,206 Million or 8.64%, as a result of KBank's liquidity management.
- **Investments - net,** decreased by Baht 35,906 Million or 4.42%, The majority of decrease came from sales of government bonds.
- **Loans to customers,** increased by Baht 88,171 Million or 4.09%, mainly due to an increase in commercial loans and housing loans.

As of 31 December 2020 compared with as of 31 December 2019, total assets increased by Baht 364,909 Million or 11.08%. The items having significant changes are as follows:

- **Interbank and money market items - net,** increased by Baht 31,480 Million or 8.16%, as a result of KBank's liquidity management.
- **Financial assets measured at fair value through profit or loss,** increased by Baht 46,666 Million, mainly from the reclassification from investments - net to be financial assets measured at fair value through profit or loss in accordance with TFRS 9.
- **Loans to customers,** increased by Baht 242,865 Million or 12.13%, mainly due to an increase in commercial loans and housing loans.

- **Classified Loans**

Under TFRS 9, the classified loans in stage 2 includes loans which credit risk has increased significantly since initial recognition but not credit impaired.

Loans to customers and accrued interest receivables and undue interest receivables consist of:

Million Baht

	31 Dec 20		30 Sep 20	
	Loans and accrued interest receivable	Allowance for expected credit loss	Loans and accrued interest receivable	Allowance for expected credit loss
Stage 1 Performing	1,951,216	42,954	1,837,201	40,699
Stage 2 Under-performing	201,382	49,439	234,165	57,212
Stage 3 Non-performing	103,495	42,000	98,635	39,304
Total	2,256,093	134,393	2,170,001	137,215

As of 31 December 2020, KBank and its subsidiaries' total loans to customers and loans to financial institutions were Baht 2,581,082 Million. Significant increase in credit risk loans to total loans ratio were 7.80% and significant increase in credit risk and credit impaired loans to total loans ratio were to 11.81%.

Million Baht

	31 Dec 19			
	Loans and Accrued Interest Receivables	Net amount used to set the Allowance for Doubtful Accounts	% Used for setting the Allowance for Doubtful Accounts	Total provision
Pass	1,839,131	572,886	1	5,729
Special mention	56,035	10,857	2	217
Sub-standard	23,075	9,218	100	9,218
Doubtful	23,068	8,223	100	8,223
Doubtful of Loss	37,931	10,886	100	10,886
Total	1,979,240	612,070		34,273
Revaluation allowance for debt restructuring				1,676
Total				35,949
Excess allowance				88,654
Credit balance transaction	1,693			-
Loans from life insurance business	23,853			276
Total	2,004,786			124,879

- **Modified Loans**

  KBank and its subsidiaries engaged in modification contracts which were classified as NPL and non-NPL that incurred losses, but not included customers under the Bank of Thailand's relief measures. In the year of 2020, there were loans before modification amounting to Baht 14,162 Million and incurred losses amounting to Baht 2,059 Million.

>> Liabilities and Equity

Million Baht

	31 Dec 20	30 Sep 20	Change	%	31 Dec 19	Change	%
Total Liabilities	3,167,512	3,089,066	78,446	2.54	2,840,174	327,338	11.53
■ Deposits	2,344,999	2,273,850	71,149	3.13	2,072,049	272,950	13.17
■ Interbank and money market items	87,797	113,938	(26,141)	(22.94)	81,628	6,169	7.56
■ Debts issued and borrowings	69,390	73,406	(4,016)	(5.47)	81,824	(12,434)	(15.20)
■ Insurance contract liabilities	472,015	461,581	10,434	2.26	446,095	25,920	5.81
Equity (attributable to equity holders of the Bank)	439,670	408,716	30,954	7.57	406,358	33,312	8.20

As of 31 December 2020 compared with as of 30 September 2020, total liabilities increased by Baht 78,446 Million or 2.54% and equity increased by Baht 30,954 Million or 7.57%. The items having significant changes are as follows:

- **Deposits,** increased by Baht 71,149 Million or 3.13%, mainly due to an increase in saving deposits.
- **Interbank and money market items,** decreased by Baht 26,141 Million or 22.94% as a result of KBank's liquidity management.
- **Insurance contract liabilities,** increased by Baht 10,434 Million or 2.26% in line with life insurance business transaction.
- **Equity (attributable to equity holders of the Bank),** increased by Baht 30,954 Million or 7.57%, mainly due to an issuance of subordinated financial instruments without a representative of the noteholders, intended to qualify as Additional Tier 1 capital and capable of loss absorption subject to the prescribed terms and conditions and no fixed redemption amount of USD 500 Million or Baht 15,549 Million and net profit generated during the fourth quarter of 2020.

As of 31 December 2020 compared with as of 31 December 2019, total liabilities increased by Baht 327,338 Million or 11.53% and equity increased by Baht 33,312 Million or 8.20%. The items having significant changes are as follows:

- **Deposits,** increased by Baht 272,950 Million or 13.17%, mainly due to an increase in saving deposits.
- **Debts issued and borrowings,** decreased by Baht 12,434 Million or 15.20%, mainly due to an early redemption of the subordinated instruments intended to qualify as Tier 2 Capital of KASIKORNBANK PCL No.1/2014 due 2025.
- **Insurance contract liabilities,** increased by Baht 25,920 Million or 5.81% in line with life insurance business transaction.
- **Equity (attributable to equity holders of the Bank),** increased by Baht 33,312 Million or 8.20%, mainly due to net profit generated during of 2020 and an issuance of subordinated financial instruments without a representative of the noteholders, intended to qualify as Additional Tier 1 capital, while decreased from the dividend from the operating results of 2019.

>> Capital Funds[1)]

- **The Bank**

Million Baht

Capital Base	Basel III						
	31 Dec 20	30 Sep 20	Change	%	31 Dec 19	Change	%
Tier 1 Capital	345,135	327,807	17,328	5.29	319,531	25,604	8.01
Common Equity Tier 1	*329,531*	*327,807*	*1,724*	*0.53*	*319,531*	*10,000*	*3.13*
Tier 2 Capital	64,664	63,960	704	1.10	76,500	(11,836)	(15.47)
Total Capital Base	409,799	391,767	18,032	4.60	396,031	13,768	3.48
Total Risk weighted assets	2,310,674	2,266,089	44,585	1.97	2,138,259	172,415	8.06

Percentage

Capital Ratios	Basel III						
	Minimum capital ratios & Buffer requirements[3)]	31 Dec 20	30 Sep 20	30 Jun 20	31 Mar 20	Minimum capital ratios & Buffer requirements[3)]	31 Dec 19
Tier 1 Capital ratio	9.50	14.94	14.47	14.15	14.08	9.00	14.94
Common Equity Tier 1 ratio	*8.00*	*14.26*	*14.47*	*14.15*	*14.08*	*7.50*	*14.94*
Tier 2 Capital ratio	-	2.80	2.82	2.83	3.49	-	3.58
Total Capital ratio	12.00	17.74	17.29	16.98	17.57	11.50	18.52

- **KASIKORNBANK FINANCIAL CONGLOMERATE[2)]**

Percentage

Capital Ratios	Basel III						
	Minimum capital ratios & Buffer requirements[3)]	31 Dec 20	30 Sep 20	30 Jun 20	31 Mar 20	Minimum capital ratios & Buffer requirements[3)]	31 Dec 19
Tier 1 Capital ratio	9.50	16.13	15.74	15.38	15.17	9.00	16.19
Common Equity Tier 1 ratio	*8.00*	*15.48*	*15.74*	*15.38*	*15.17*	*7.50*	*16.19*
Tier 2 Capital ratio	-	2.67	2.71	2.71	3.36	-	3.43
Total Capital ratio	12.00	18.80	18.45	18.09	18.53	11.50	19.62

[1)] Excluding net profit of each period, which under Bank of Thailand's regulations, net profit in the first period is to be counted as capital after approval by the Board of Directors as per the Bank's regulations. Net profit in the second period is also counted as capital after approval of the General Meeting of Shareholders. However, whenever a net loss occurs, the capital must be immediately reduced at the end of period.

[2)] KASIKORNBANK FINANCIAL CONGLOMERATE means the company under the Notification of the Bank of Thailand re: Regulations on Consolidated Supervision, consisted of KASIKORNBANK, K Companies and subsidiaries operating in supporting KBank, Phethai Asset Management Co., Ltd. and other subsidiaries within the permitted scope from the BOT's to be financial conglomerate.

[3)] Bank of Thailand (BOT) required the Bank to maintain 2 capital buffer as follows:

- Conservation buffer: BOT required the Bank to maintain an additional Common Equity Tier 1 at 2.50% per annum since 1 January 2019 onwards.
- Domestic Systematically Important Banks Buffer (D-SIBs Buffer): BOT required the D-SIBs to maintain an additional Common Equity Tier 1 at 1% per annum on a phase-in basis at 0.50% since 1 January 2019 and increase to be 1% since 1 January 2020 onwards.

Financial assets measured at fair value through profit or loss, Investments, Loans and allowance for expected credit loss / allowance for doubtful accounts, Properties foreclosed and Deposits

Million Baht

	31 Dec 20	30 Sep 20	30 Jun 20	31 Mar 20 (Restated)
Financial assets measured at fair value through profit or loss				
Debt Instruments	40,579	53,220	46,848	47,654
■ Government and state enterprise securities	10,083	20,249	17,757	8,511
■ Private enterprise debt instruments	15,411	15,421	15,601	18,651
■ Foreign debt instruments	15,085	17,550	13,490	20,492
Equity Securities	6,087	4,782	5,449	5,257
Total financial assets measured at fair value through profit or loss	46,666	58,002	52,297	52,911
Investments - net				
Investments measured at fair value through other comprehensive income				
Debt Instruments	233,153	292,052	297,251	250,884
■ Government and state enterprise securities	149,696	190,857	196,589	161,184
■ Private enterprise debt instruments	15,470	19,194	23,131	12,874
■ Foreign debt instruments	67,987	82,001	77,531	76,826
Equity Securities	77,475	69,794	70,485	60,853
Investments measured at amortized cost				
Debt Instruments	465,111	449,799	444,531	420,900
■ Government and state enterprise securities	284,646	272,103	271,840	244,242
■ Private enterprise debt instruments	137,560	134,740	128,318	127,615
■ Foreign debt instruments	42,905	42,956	44,373	49,043
Total investments - net	775,739	811,645	812,267	732,637
Loans, Accrued interest receivables and undue interest receivables and Allowance for expected credit loss				
Non-performing loans, gross (NPL gross)	101,007	96,743	94,441	91,113
Total loans used for NPL gross ratio calculation (Loans gross)	2,571,793	2,448,541	2,411,199	2,361,730
NPL gross to total loans	3.93%	3.95%	3.92%	3.86%
Written off loans in this quarter	6,128	2,703	1,296	11,352
Classified loans*				
>> Stage 1 Performing	1,951,216	1,837,201	1,808,372	1,734,440
>> Stage 2 Under-performing	201,382	234,165	230,423	220,007
>> Stage 3 Non-performing	103,495	98,635	96,286	92,778
Total	2,256,093	2,170,001	2,135,081	2,047,225
Allowance for expected credit loss	134,393	137,215	133,104	118,064
Properties foreclosed - net	28,035	27,342	26,778	25,724
Deposits				
>> Current	133,802	140,697	129,821	121,265
>> Saving	1,748,237	1,673,591	1,710,440	1,597,848
>> Fixed less than 6 months	115,385	107,783	118,134	115,010
>> Fixed 6 – 11 months	130,658	132,689	130,038	145,618
>> Fixed 12 months and upward	216,917	219,090	219,564	222,371
Total deposits	2,344,999	2,273,850	2,307,997	2,202,112

* Loans = Loans to customers and accrued interest receivables and undue interest receivables

Financial Highlights – Consolidated financial statements

As of or for the quarter ended		31 Dec 20	30 Sep 20	% Change	30 Jun 20	31 Mar 20 (Restated)	31 Dec 19
Common share information:							
Per share (Baht)	- basic earnings[1]	5.60	2.82	98.52	0.92	3.09	3.68
	- book value	179.00	172.50	3.77	169.83	171.69	169.79
Share price[2] (Baht)	- high	123.00	95.25	29.13	117.00	153.50	157.50
	- low	70.75	74.25	(4.71)	82.25	79.00	131.00
	- closing	113.00	77.00	46.75	93.25	91.50	151.00
Common shares outstanding	- average basic (Million shares)	2,369.33	2,369.33	-	2,369.33	2,385.28	2,393.26
	- end of quarter (Million shares)	2,369.33	2,369.33	-	2,369.33	2,369.33	2,393.26
Market capitalization (Million Baht)		267,734	182,438	46.75	220,940	216,793	361,382
Value measures:							
Price to book value ratio (PBV)		0.63	0.45	40.00	0.55	0.53	0.89
Financial position statement information (Million Baht)							
Loans[3]		2,244,821	2,156,650	4.09	2,126,753	2,043,093	2,001,956
Allowance for expected credit loss		134,393	137,215	2.06	133,104	118,064	-
Allowance for doubtful accounts and revaluation allowance for debt restructuring		-	-	-	-	-	124,879
Non-performing loans, gross (NPL gross)[4]		101,007	96,743	4.41	94,441	91,113	84,038
Total assets		3,658,798	3,545,648	3.19	3,585,800	3,483,527	3,293,889
Deposits		2,344,999	2,273,850	3.13	2,307,997	2,202,112	2,072,049
Total liabilities		3,167,512	3,089,066	2.54	3,135,108	3,033,814	2,840,174
Equity excluded other equity instruments (attributable to equity holders of the Bank)		424,121	408,716	3.77	402,386	406,789	406,358
Average assets		3,602,223	3,565,724	1.02	3,534,663	3,388,708	3,267,012
Average earning assets[5]		3,459,890	3,436,499	0.68	3,360,790	3,218,906	3,142,551
Average equity excluded other equity instruments (attributable to equity holders of the Bank)		416,418	405,551	2.68	404,587	406,573	403,701
Operating results (Million Baht)							
Interest income - net		26,603	27,255	(2.39)	27,082	28,082	25,570
Non - interest income							
Fees and service income - net		8,302	7,805	6.36	8,047	8,850	9,407
Net premiums earned - net		(558)	(36)	(1,425.75)	(40)	199	(1,163)
Other income		4,564	1,730	163.91	6,085	922	7,913
Total operating income - net		38,911	36,754	5.87	41,174	38,053	41,727
Total other operating expenses		20,272	16,447	23.26	15,796	17,481	21,176
Operating profit before expected credit loss / impairment loss on loans and debt securities and income tax expense		18,639	20,307	(8.21)	25,378	20,572	20,551
Expected credit loss		669	10,815	(93.81)	20,192	11,872	-
Impairment loss on loans and debt securities		-	-	-	-	-	8,825
Operating profit before income tax expense		17,970	9,492	89.32	5,186	8,700	11,726
Net profit (attributable to equity holders of the Bank)		13,258	6,679	98.52	2,175	7,375	8,802

Financial Highlights – Consolidated financial statements (continued)

As of or for the quarter ended	31 Dec 20	30 Sep 20	30 Jun 20	31 Mar 20 (Restated)	31 Dec 19
Asset quality ratios / Financial policy ratios:					
Significant increase in credit risk loans[6] to total loans[7]	7.80%	9.52%	9.43%	9.32%	-
Significant increase in credit risk and credit impaired loans[8] to total loans[7]	11.81%	13.53%	13.38%	13.24%	-
NPL gross[4] to total loans[9]	3.93%	3.95%	3.92%	3.86%	3.65%
Total allowance for expected credit loss[10] to NPL gross (Coverage ratio)	149.19%	161.12%	155.68%	138.66%	-
Total allowance to NPL gross (Coverage ratio)	-	-	-	-	148.60%
Loans[3] to deposits ratio	95.73%	94.85%	92.15%	92.78%	96.62%
Performance indicators:					
Net interest margin (NIM)[11]	3.08%	3.17%	3.22%	3.49%	3.25%
Return on average assets (ROA)[12]	1.47%	0.75%	0.25%	0.87%	1.08%
Return on average equity (ROE)[13]	12.74%	6.59%	2.15%	7.26%	8.72%
Cost to income ratio[14]	52.10%	44.75%	38.36%	45.94%	50.75%

Formula of financial ratios

[1] Basic earnings = Net profit (attributable to equity holders of the Bank) deduct dividend from other equity instruments after income tax *divided by* common shares outstanding.

[2] local board / high-low share prices during the quarter

[3] Loans = Loans to customers

[4] NPL gross used in calculation are loans to customers and loans to financial institutions of non-performing loans excluded loans for credit balance and life insurance business

[5] Earning assets = Interbank and money market items - net *plus* Financial assets measured at fair value through profit or loss *plus* Investments - net *plus* Total loans to customers and accrued interest receivables and undue interest receivables and before 2020 Earning assets = Interbank and money market items - net *plus* Investments - net *plus* Total loans to customers and accrued interest receivables

[6] Significant increase in credit risk loans used in calculation are loans to customers and loans to financial institutions which credit risk has increased significantly

[7] Loans used in calculation are loans to customers and loans to financial institutions and accrued interest receivables and undue interest receivables

[8] Credit impaired loans used in calculation are loans to customers and loans to financial institutions which credit risk has impaired

[9] Loans used in calculation are loans to customers and loans to financial institutions

[10] Included allowance for expected credit loss of loan commitment and financial guarantee, deposit to financial institutions, investment and other financial assets

[11] Net interest margin (NIM) = Interest income - net calculated on an annualized basis *divided by* Average earning assets of assets at the beginning of the quarter / period / year and assets at the ending of the quarter / period / year

[12] Return on average assets (ROA) = Net profit (attributable to equity holders of the Bank) calculated on an annualized basis *divided by* Average assets of assets at the beginning of the quarter / period / year and assets at the ending of the quarter / period / year

[13] Return on average equity (ROE) = Net profit (attributable to equity holders of the Bank) deduct dividend from other equity instruments after income tax calculated on an annualized basis *divided by* Average equity of equity excluded other equity instruments at the beginning of the quarter / period / year and equity at the ending of the quarter / period / year

[14] Cost to income ratio = Total other operating expenses *divided by* Total operating income – net